BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

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Prepared Supplemental Testimony of:

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Q. Are you the same members of the Staff Consumer Services Panel that previously submitted direct testimony in these proceedings?

A. Yes.

Q. What is the purpose of your supplemental testimony?

A. The purpose of this testimony is to provide an update on the Energy Affordability Program (EAP) discounts for Brooklyn Union Gas Company d/b/a National Grid (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) in the 2020 program year, or calendar year 2020, which impacts the Rate Year budget.

Q. Have you prepared any exhibits to support your supplemental testimony?

A. Yes, Exhibit___(SCSP-4) contains the Companies' response to Staff interrogatories that we relied upon.

Q. What were the Companies' EAP discounts in the 2019 program year?

A. The Companies' Shared Services Panel direct testimony at Table 10 on page 72 lists the heating discounts for KEDNY's 2019 program as $18 for Tiers 1, 5 and 6; $37 for Tier 2; $56

for Tier 3; and $42 for Tier 4. For KEDLI, the discounts were $18 for Tiers 1 and 5; $37 for Tier 2; $57 for Tier 3; and $42 for Tier 4. The non-heating discounts were $3 across all tiers for both Companies.

Q. What were the 2019 program budgets for each Company?

A. Per the Companies' Shared Services Panel direct testimony on page 73, the 2019 program budgets were $25.5 million for KEDNY and $5.5 million for KEDLI.

Q. Describe the changes in the Companies' EAP discounts.

A. The 2020 program discounts, which went into effect January 1, 2020, have increased for both Companies. KEDNY's updated heating discounts are $34 for Tiers 1, 5 and 6; $56 for Tier 2; $78 for Tier 3; and $65 for Tier 4. KEDNY's non-heating discounts are $2.40 across all tiers. KEDLI's heating discounts are $28 for Tiers 1 and 5; $48 for Tier 2; $68 for Tier 3; and $54 for Tier 4. KEDLI's non-heating discounts remain at $3 for all tiers.

Q. Why have the 2020 Energy Affordability Program

discounts changed?

A. Under the Commission's Energy Affordability Policy, established in Case 14-M-0565, Order issued May 20, 2016 (May 2016 Order) and Order on Rehearing issued February 17, 2017, KEDNY and KEDLI are required to recalculate their EAP bill discounts and program budgets annually based on historical average bills.

Q. What are the Companies' budget amounts for 2020?

A. The budgets are $38.4 million for KEDNY and $6.7 million for KEDLI, as provided in the Companies' response to IR DPS-1074. The recalculation of discounts from the 2019 programs, will increase the KEDNY budget by $12.9 million, and increase the KEDLI budget by $1.2 million.

Q. How is a program budget determined under the Commission's Energy Affordability Policy?

A. Per the Commission's May 2016 Order, the budgets are based on projected costs associated with the size of the eligible customer population for the program and the size of the bill discount, in relation to the target level of energy burden at or below six percent of household income.

Q. Is the current discount program budget capped

annually?

A. Yes. Under the Commission's current policy, the maximum funding amount allowed is two percent of the utility's total revenue. Budgets set in rate proceedings are estimates because participation levels and discount amounts may vary over the course of a rate year or rate plan and are to be reconciled with actual program costs using traditional deferral accounting procedures, per the May 2016 Order.

Q. When KEDNY and KEDLI developed the 2020 program budget, did the two percent budget cap come into play?

A. For KEDNY, yes. Had KEDNY simply calculated the discounts based on the six percent energy burden target, KEDNY's 2020 program budget would have exceeded the Commission's two percent budget cap. Accordingly, KEDNY modified the discounts to keep its annual budget under the cap. KEDLI was able to set the 2020 discounts without its annual budget approaching its budget cap.

Q. How did KEDNY modify the discounts to stay under the two percent budget cap?

A. KEDNY modified its discounts by slightly

increasing the energy burden from the targeted 6 percent to 6.4 percent, consistent with the process prescribed by the Commission in the May 2016 Order. This adjusted energy burden allowed the Company to stay under the budget cap.

Q. Did KEDLI also modify its target energy burden?

A. No. As KEDLI's budget was under the two percent cap it did not need to adjust the discounts and targeted energy burden.

Q. Did the Panel review the Companies' 2020 discount program budgets?

A. Yes. We found the Companies' updated discounts and budgets to be consistent with the Commission's Orders in Case 14-M-0565, and therefore we support the Companies' changes.

Q. Did you inform the Staff Revenue Requirements Panel of the program change?

A. Yes.

Q. Does this conclude the Panel's supplemental testimony?

A. Yes, this concludes our supplemental testimony at this time.